EXECUTIVE SUMMARY

I. Introduction

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA", which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Piat (Municipality) for CY 2025 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles, whether prevailing laws, rules and regulations have been complied with and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position and the results of operations of the Municipality for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Accounts	2025	2024	Increase (Decrease)
Financial Position			
Total Assets	P 398,656,514.91	P 367,773,314.73	P 30,883,200.18
Liabilities	P 64,675,738.69	P 67,927,983.11	P (3,252,244.42)
Total Government Equity	P 333,980,776.22	P 299,845,331.62	P 34,135,444.60

Accounts	2025	2024	Increase (Decrease)
Results of Operations			
Total Income	P 184,288,736.38	P 164,101,970.71	P 20,186,765.67
Total Expenses	P 146,516,339.98	P 127,361,599.61	P 19,154,740.37
Net Income	P 37, 772,396.40	P 36,740,371.10	P 1,032,025.30
Appropriations, Allotments and Obligations			
Appropriations- Current	P 191,953,255.00	P 164,973,197.00	P 26,980,058.00
Allotment- Current	P 191,953,255.00	P 164,973,197.00	P 26,980,058.00
Obligations- Current	P 127,598,883.72	P 110,093,143.47	P 17,505,740.25
Appropriations-Continuing	P 48,681,305.85	P 45,844,486.02	P 2,836,819.83
Allotment- Continuing	P 48,681,305.85	P 45,844,486.02	P 2,836,819.83
Obligations- Continuing	P 18,103,737.11	P 24,875,018.11	P (6,771,281.00)

IV. Operational Highlights

The Municipality is headed by the Municipal Mayor, Honorable Leonel C. Guzman, and Vice-Mayor, Honorable Reymundo Villacete III. For CY 2025, the Municipality had a total of 172 personnel complement, with 81 permanent, 12 elective, 4 co-terminus, and 75 job order status.

The following infrastructure projects of the Municipality were completed in CY 2025:

Projects	Location	Total Cost Incurred (P)
Provisions of Renewable Energy Based Electrification	Villareyno, Piat	P 498,358.48
Provisions of Renewable Energy Based Electrification	Piat	279,886.00
Roofing of MPB GYM	Calaoagan, Piat,	991,683.97
Concreting of Road	Aquib, Piat	295,980.92
Construction of Toilet Wash Area (Sanitary Landfill)	Baung, Piat	498,947.90
Improvement of Water System	Sto. Domingo, Piat	860,000.00
Construction of Daycare Center	Gumarueng, Piat	1,195,108.33
Improvement of Multi- Purpose Building	Villarey, Piat	994,380.00
Improvement of ECDC	Poblacion 02, Piat	997,645.47
Repair of Barangay Health Station	Villareyno, Piat	498,358.48
Construction of Drying Shed	Baung, Piat	995,593.68
Construction of School Stage at Piat Central	Poblacion 02, Piat	497,339.66
Concreting of Farm to Market Road	Sta. Barbara, Piat	997,098.40
Concreting of Road	Gumarueng, Piat	243,551.10
Concreting of Barangay Access Road	Cataruan, Piat	995,937.50
Roofing Of Multi-Purpose Building	Calaoagan, Piat,	988,228.18
Repair/Improvement of Roofing (Motorpool)	Piat	314,000.00
Total		**P 12,142,098.068**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Piat for the year-ended December 31, 2025 due to various accounts which are materially misstated by an aggregate amount of P19,523,174.22 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality disclosed misstatements totaling to P19,523,174.22, in absolute value, which is material to modify the auditor's opinion based on the overall planning materiality threshold, summarized as follows:

Accounts	Asset	Liability	Government Equity/ Revenue/ Expense	Total
Accounts Payable	P -	P 3,018,478.96	P -	P 3,018,478.96
Due to Officers and Employees	-	90,802.30	-	90,802.30
Other Payables	-	506,650.00	-	506,650.00
Due to BIR	-	61,006.51	-	61,006.51
Accumulated Surplus	-	-	2,360,020.15	2,360,020.15
Furniture and Fixtures	19,604.49	-	-	19,604.49
Information and Communication Technology Equipment	35,157.13	-	-	35,157.13
Office Equipment	21,809.16	-	-	21,809.16
Other Property, Plant and Equipment	37,318.40	-	-	37,318.40
Government Equity	-	-	113,889.18	113,889.18
Construction in Progress - Infrastructure Assets	4,963,388.00	-	-	4,963,388.00
Construction in Progress - Buildings and Other Structures	4,031,593.92	-	-	4,031,593.92
Inventories	2,131,728.01	-	-	2,131,728.01
Supplies and Materials Expense	-	-	2,131,728.01	2,131,728.01
Total	**P 11,240,599.11**	**P 3,676,937.77**	**P 4,605,637.34**	**P 19,523,174.22**

As a result, the following accounts in the financial statements of the Municipality of Piat were misstated as follows:

Accounts	Overstatement	Understatement	Observation No.
Accounts Payable	P 3,018,478.96	P -	1, 2, 3
Government Equity	-	2,360,020.15	1
Due to Officers and Employees	-	90,802.30	2
Other Payables	-	506,650.00	2
Due to BIR	-	61,006.51	3
Furniture and Fixtures	19,604.49	-	4
Information and Communication Technology Equipment	35,157.13	-	4
Office Equipment	21,809.16	-	4
Other Property, Plant and Equipment	37,318.40	-	4
Government Equity	113,889.18	-	4
Construction in Progress - Infrastructure Assets	4,963,388.00	-	5
Construction in Progress - Buildings and Other Structures	-	4,031,593.92	5
Inventories	2,131,728.01		6
Supplies and Materials Expense	-	2,131,728.01	6
Total	**P 10,341,373.33**	**P 9,181,800.89**	

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2025 other than the bases for the modified opinion that need immediate attention and action by the Municipality are as follows:

1. **The Municipality utilized P8.948 million or 37.61 percent of its total available appropriations under the 5% Local Disaster Risk Reduction and Management Fund amounting to P23.791 million, thereby contributing to the attainment of its objectives of mitigating disaster risks and enhancing disaster preparedness and response capacities.**

   However, a substantial portion of the fund amounting to P14.843 million or 62.39 percent of the available fund remained unutilized as of year-end, which reflects suboptimal utilization of resources and does not fully align with the declared policy of the State to strengthen the capacity of the LGUs, to build a disaster resilient community.

We recommended that the Management:

A. Strengthen planning, monitoring, and coordination mechanisms among the Local Disaster Risk Reduction and Management Office and other implementing offices, to ensure the timely implementation of approved PPAs;

B. Expedite the procurement and implementation processes of the remaining unimplemented PPAs, to maximize the utilization of available funds and achieve the intended disaster risk reduction objectives; and

C. Ensure that the PPAs funded under the 5% LDRRMF are judiciously planned and procurement and implementation-ready, to avoid delays in project execution and thereby improve fund utilization.

2. **The Municipality utilized P18.865 million, representing 25 percent of the total available 20% Development Fund appropriations of P75.462 million in CY 2025, which resulted in the full implementation of 34 programs, projects, and activities amounting to P14.337 million and the partial implementation of 23 PPAs amounting to P4.528 million.**

   However, 39 PPAs, with aggregate appropriation of P43.212 million, remained unimplemented, which is inconsistent with the principle of optimal and timely use of development funds.

   We recommended that the Management:

   A. Closely monitor and prioritize the implementation of the ongoing and unimplemented PPAs;

   B. Maintain and regularly update accurate implementation status reports to ensure that project timelines proceed as scheduled; and

   C. Ensure that PPAs included in the approved Annual Investment Program are procurement and implementation-ready, to improve fund utilization and facilitate timely delivery of project outputs.

3. **Disbursements totaling to P2,632,252.69 were made on reimbursement basis, instead of direct payment to suppliers/creditors, resulting in the non-withholding of the applicable taxes due thereon and may have prevented the government from securing the most advantageous price.**

We recommended that the Management:

A. Avoid the practice of disbursing through reimbursement and ensure that all payments are made directly to the suppliers or service providers, to facilitate the proper withholding and remittance of applicable taxes; and

B. Strictly adhere to the appropriate modes of procurement and consistently comply with the procedures prescribed under the Procurement Law and its IRR, to uphold the principles of transparency and accountability, while ensuring that the Agency obtains the most advantageous price and terms in all its procurement undertakings.

VII. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance January 1, 2025	Issued During the Year	Settlement During the Year	Ending Balance, December 31, 2025	% of Settlement
Suspensions					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%
Disallowances					
Prior Years	897,303.29	-		897,303.29	0.00%
Current Year	-	-	-	-	0.00%
Total	**897,303.29**	-		**897,303.29**	0.00%
Charges					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%

VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in the CY 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number
Fully Implemented	8
Not Implemented	3
Not Implemented and reiterated in CY 2025 AAR	4
Total	**15**